

# Is the Fed Broken?

*A reading of the case that the Federal Reserve is not malfunctioning at all — that it is performing, with great skill, exactly the function it was built to perform.*

BY RATTY2TAILS

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*When we ask whether an institution is broken, we are usually asking whether it has failed at its job. There is a more unsettling question hiding underneath: what if it is succeeding — and the job itself is the problem?*

## I · THE QUESTION

### The Uncomfortable Answer

Most people who ask whether the Federal Reserve is broken have in mind a malfunctioning machine: a body that means well, sets out to deliver stable prices and full employment, and keeps fumbling the controls. The veteran hard-money investor Lawrence Leppard offers a darker reading. The Fed, he argues, is not a clumsy referee of the economy at all. It is a remarkably effective instrument that does precisely what it was designed to do — expand the supply of money — and then dresses the consequences in gentler language.

On this view, the monthly ritual of monetary policy is largely theatre. Twelve serious officials gather, weigh the data, debate, occasionally dissent, and emerge with a finely calibrated decision. The performance is meant to convince the public that the currency rests in thoughtful, scientific hands. Leppard's contention is that the science is mostly stagecraft: the chairman sets the tone, the disagreements are to some degree choreographed, and the apparatus of projections and committees exists to lend an air of precision to what is, at bottom, a political act. His blunt summary of the record since the Fed's founding in 1913 is that the institution has presided over a long, steady erosion of the dollar while insisting all the while that it was doing the opposite.

That framing is deliberately combative, and a reader is right to be sceptical of anyone who reduces a complex institution to a single motive. But the strength of the argument does not rest on cynicism about individuals. It rests on a structural claim about the position the Fed now occupies — a claim that can be examined on its own terms. The rest of this essay tries to do that, following the logic from the institution's public posture down to the arithmetic that, in Leppard's telling, leaves it very little room to manoeuvre.

## II · THE PERFORMANCE

### A Debut Built on Posture

The clearest recent illustration, for Lepard, was a new chairman's opening meeting. By his own admission he expected something dovish — some early signal that rates would soon come down. He was wrong, and he says so plainly. What arrived instead was a masterclass in saying nothing. No forward guidance. No commitment about the path of rates. Instead, a promise of sweeping institutional review and a clutch of freshly minted committees and task forces to study the problems anew.

Read uncharitably, this is bureaucratic theatre. Read strategically — which is how Lepard reads it — it is shrewd. A chairman who cuts rates immediately looks like he is bowing to political pressure. So he first establishes the opposite reputation: a tough, inflation-fighting figure who insists repeatedly that prices are too high and will be brought to heel. Crucially, he does not say how. The committees are the mechanism. In time, Lepard predicts, the inflation review will return with a tidy, technical justification for easing — a different inflation gauge here, an appeal to productivity gains there — and the chairman will be able to cut while claiming he is merely following the data.

The vocabulary is part of the manoeuvre. Lepard points to two tells. The first is a willingness to redefine the target: an official who says he cares about the figure to the left of the decimal point, not the right, is signalling that inflation running close to three per cent will be treated as good enough so long as it still begins with a two. The second is the quiet shopping for friendlier measures of inflation — trimmed-mean versions that discard the inconvenient outliers, or alternative private indices that happen to read lower. None of this is fraud in any prosecutable sense. It is simply the slow migration of the goalposts, conducted in the language of rigour.

*“The job of a central banker, on this account, is to persuade the public the money is sound while doing the things that make it less so.”*

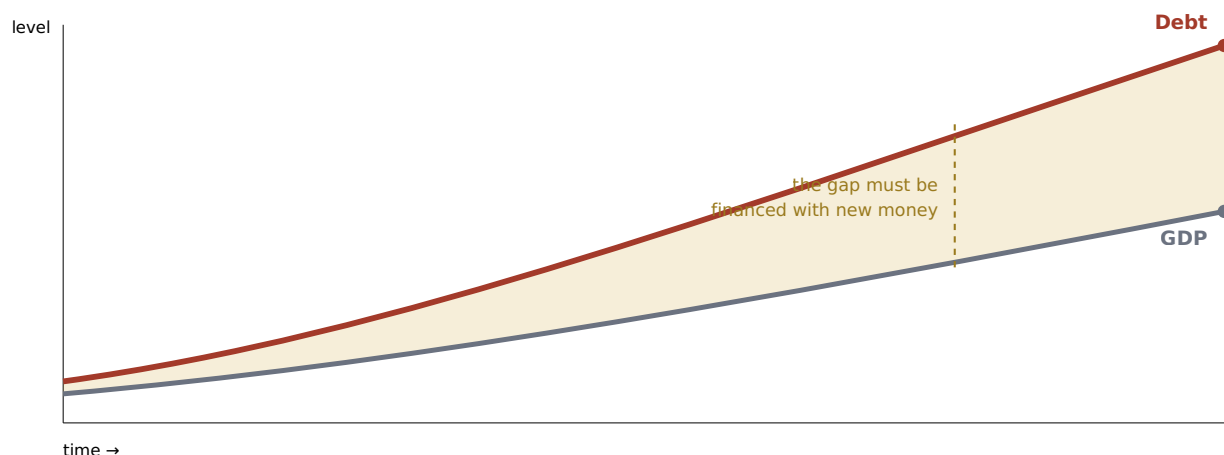
## III · THE TRAP

### The Machine That Has to Print

Beneath the stagecraft sits an arithmetic problem that posture cannot fix. For years the United States' debt has grown faster than its economy. That is the whole story in a sentence, and it is worth pausing on, because almost everything else follows from it. If what you owe compounds faster than what you earn, the burden does not stabilise on its own; it widens. To keep servicing a debt that grows faster than output, you eventually need a larger nominal economy — and the most reliable way a state manufactures nominal growth, when real growth will not oblige, is to expand the money supply.

## The widening gap

Why the debt cannot be grown out of



**FIGURE 1.** When liabilities compound faster than income, the distance between the two lines does not close by itself. Closing it without default means generating more nominal output, and the lever for that is the money supply. The shape is schematic, not to scale.

The numbers Lepard cites make the bind concrete. Annual interest on the federal debt has been running near \$1.3 trillion — more than the entire defence budget — even as defence spending is itself slated to climb. A very large share of the debt has been pushed out into short-dated paper, which means something on the order of \$9 trillion has to be refinanced over the coming year, and refinanced at today's higher rates. This is the quiet emergency. It also explains a conflict of interest sitting at the heart of the institution: cutting rates would directly relieve the government's own interest bill. The body that sets the price of money is also, in effect, the borrower's in-house financier. That is not a configuration that produces disinterested policy.

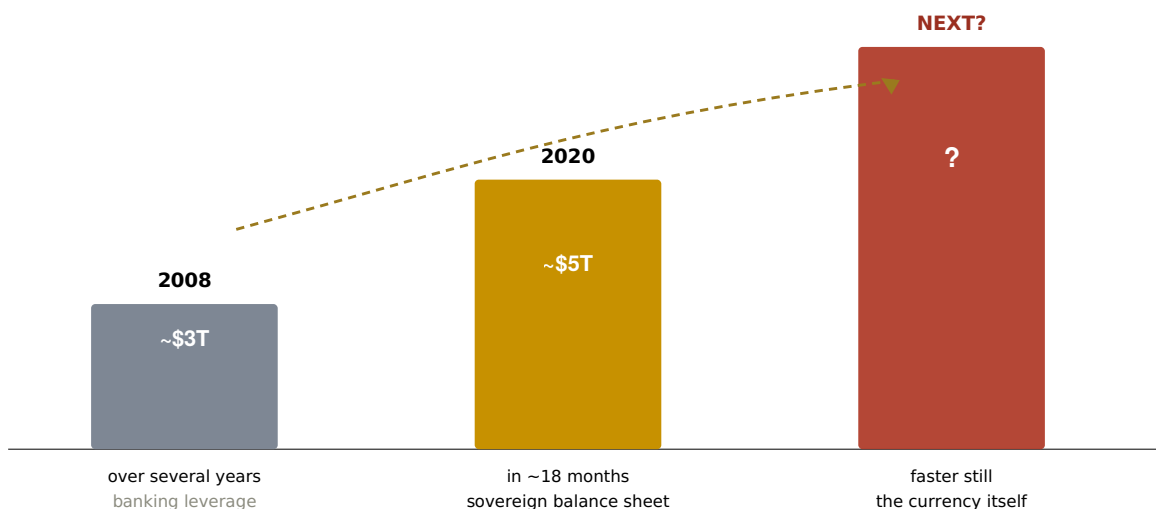
## IV · THE PATTERN

### The Big Print, in Three Acts

Lepard's central thesis is that the response to every crisis has followed the same script, only at a higher level and a faster tempo each time. He calls it the big print. The first act was 2008: excessive leverage in the banking system, met with rescue and the first great expansion of the central-bank balance sheet. The second was 2020: an economy shut down, met with an even larger and far quicker expansion, this time loading the strain onto the sovereign balance sheet. Each rescue did not solve the underlying fragility so much as promote it — from the banks, to the state, and next, he warns, to the currency itself.

## The big print, in three acts

Each response larger than the last — and delivered faster



**FIGURE 2.** The escalation Lepard describes: roughly \$3 trillion of balance-sheet expansion stretched over years, then about \$5 trillion compressed into a year and a half. The third bar is a question mark by design — his point is that the scale grows while the time to deploy it shrinks. Figures approximate.

The 2023 failure of Silicon Valley Bank, he notes, was a dress rehearsal. For a moment it looked like the next great unravelling. Instead it was patched together quickly: a new emergency lending facility, sweeping assurances about deposits, and a return to calm. The episode is instructive precisely because the response was so practised. The toolkit comes out fast, the language is reassuring, and the system steadies — until the next stress, one notch larger.

## V · THE ENDGAME

### Break the Glass

What would the largest act look like? Lepard reads the tea leaves carefully. He points to the reappearance of one of the architects of the 2008 rescue, long retired and silent, who chose — apparently unprompted — to muse publicly that the debt load is becoming a genuine problem and that policymakers ought to be thinking about a break-the-glass moment in the bond market. To Lepard this looked less like an idle reflection than a sanctioned trial balloon: the establishment quietly preparing the public for what it may have to do.

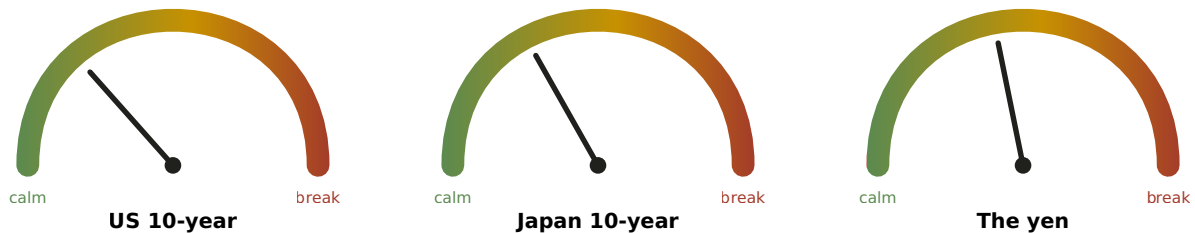
The mechanism he expects is yield-curve control, the policy the United States used during the Second World War. If the bond market ever seizes — if there are simply not enough buyers for the debt being issued — the Fed can declare itself a standing buyer at a fixed yield. Set that yield low enough relative to inflation and the entire market sells into it, and the balance sheet swells from its present size toward something multiples larger. He does not present this as a certainty, only as a live possibility that he rates as far from remote.

The instruments he watches for the first crack are specific: the United States ten-year yield, the Japanese ten-year yield, and the value of the yen — the plumbing through which the global carry trade runs. For now those gauges read calm. The lesson of Britain's 2022 gilt crisis, when a budget misstep nearly broke the pension

system overnight, is how quickly calm can give way and how fast the monetary fire hoses are brought to bear when it does.

### The instruments to watch

The plumbing of the global carry trade — calm, for now



**FIGURE 3.** The three dials Lepard treats as early-warning lights. None is flashing red today; his argument is about how suddenly a needle can swing — and how rehearsed the response has become when one does.

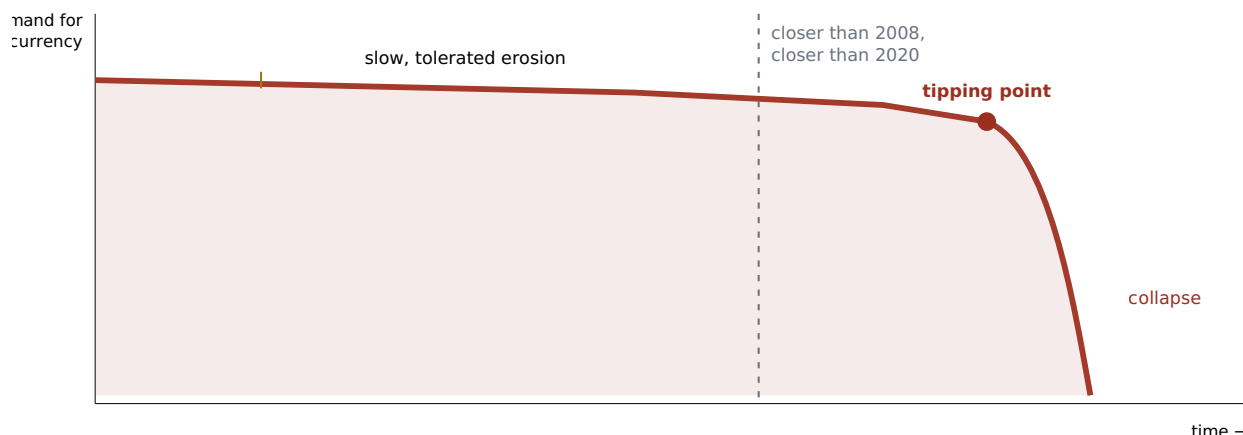
## VI · THE PHYSICS

### How a Currency Actually Dies

Here Lepard reaches for the literature on hyperinflation, and for metaphors from physics. A monetary system does not usually fail gradually, he argues. It fails the way water becomes ice, or the way a snowfield becomes an avalanche, or the way pressure builds silently beneath a volcano. The system holds, and holds, and holds — and then, at the moment it becomes obvious to nearly everyone that the printing cannot stop, demand for the currency collapses all at once. People abandon it not in a trickle but in a rush, and what looked stable for years is gone in weeks. This is Gresham's law arriving at its terminus.

## How money dies

Confidence holds — until the last snowflake



**FIGURE 4.** The shape Lepard has in mind: a long, tolerated decline that masks an approaching threshold, beyond which confidence does not fade but breaks. His claim is not that the United States is at the edge — it is the reserve issuer, a special case — but that each new programme nudges the snowpack.

How close is the United States to that edge? Lepard is careful here, and it is to his credit. He does not claim the cliff is imminent. America is the world’s reserve issuer and the most powerful economy on earth; it is not Weimar Germany or modern Argentina, and the comparison is not apples to apples. His more modest, and more durable, claim is directional: the country is closer to that threshold than it was before 2008, and closer than before 2020, and every fresh rescue moves it a little nearer still.

## VII · THE TELL

### Why “No Guidance” Gives the Game Away

Return, finally, to that opening meeting and the decision to abandon forward guidance. Why would a central bank that spent years carefully telegraphing its intentions suddenly go quiet? Lepard offers two complementary readings. The generous one is that guidance had become a cage: every projection and dot-plot tied the institution’s hands and invited the market to hold it to account. The less generous one is that quiet is simply the most useful posture when you do not actually know what you are going to do — and when keeping your counterparties guessing is itself an advantage.

Either way, it marks a return to an older style of central banking, the deliberate obscurity for which Alan Greenspan was famous, where the chairman speaks in a fog dense enough that listeners hear whatever they wish. Some will take it as resolve against inflation; others, like Lepard, as a placeholder for an easing cycle not yet announced. That ambiguity is not a bug. It is the product. Stripped to its essentials, the role he describes is the management of belief: convincing the public that the money is sound while presiding over the machinery that erodes it.

## VIII · THE VERDICT

### So — Is It Broken?

The honest answer depends on the test you apply. Measured against its stated mandate — stable prices, a dollar that holds its value — the Fed has failed steadily and admits as much only in euphemism. By that standard it is chronically broken. But measured against the function Lepard believes it actually serves — financing an over-indebted state and shielding the banking system, both through the quiet, ever-present tax of inflation — it is not broken at all. It is working smoothly. The machinery hums. The brokenness, in other words, is structural, and arguably by design.

That is the real force of his argument, and it survives even if one rejects his more colourful flourishes. You need not believe in choreographed dissents or imminent hyperinflation to take the core point seriously: an institution that sets the price of money while also being the largest beneficiary of cheap money cannot be a neutral arbiter, and the arithmetic of the debt now pushes hard in one direction. The reform Lepard actually wants — abolish the central bank, let a free market set the interest rate on a sound monetary unit, and let those who take on too much leverage simply fail — is nowhere on the near-term agenda. He knows it.

So his counsel is practical rather than revolutionary. Lengthen your time horizon. Hold the kinds of assets that time rewards rather than punishes. Treat the years ahead as an inflation already underway — one he expects to reach double digits before it is finished — and take what consolation there is in the fact that each cycle teaches a few more people where the erosion comes from. His decade-long bet on monetary debasement is wrong, he concedes, in exactly one scenario: if government becomes genuinely responsible, balances its budget, and reforms its commitments. He is watching for that. He does not see it.

Which leaves us with a tidy inversion of the question we began with. The Fed is not a broken machine struggling to do an honest job. It is a well-built machine doing exactly the job it was made for. The open question is not whether the machine works. It is how long the audience keeps believing the performance — and what they will reach for when they stop.

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ESSAY · **Ratty2Tails** · This piece is an interpretive essay drawing on arguments advanced by Lawrence Lepard in a long-form interview. It paraphrases and synthesises his positions; figures are his characterisations, rendered here approximately and schematically for illustration. It is commentary and opinion, not investment, financial, or legal advice.